# Northline Industrial Property Portfolio

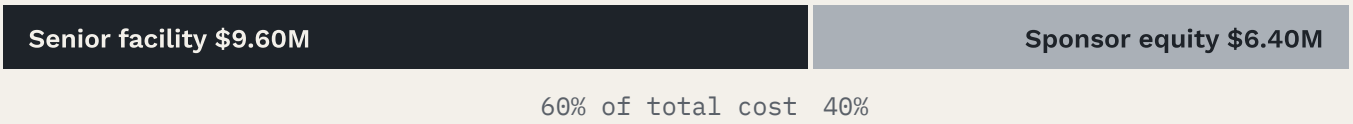
Ten light industrial and warehouse assets bought for $15.00M and financed with a 60% senior facility. Every figure in this summary traces back to the asset schedule on page 2.

| PROPERTIES | FLOOR AREA | OCCUPANCY |
|---|---|---|
| 10 | 206,000 | 95.5% |
| Light industrial and warehouse | Square feet | Weighted by floor area |

| PURCHASE PRICE | ANNUAL NOI | CAP RATE |
|---|---|---|
| $15,000,000 | $1,050,000 | 7.00% |
| $72.82 per sq ft | Before debt service | NOI divided by price |

## Capital structure

Total project cost of $16,000,000, including $500,000 of transaction costs and $500,000 of initial reserves.




| DEBT SERVICE | DSCR | DEBT YIELD | LOAN TO VALUE |
|---|---|---|---|
| $672,000 | 1.56x | 10.9% | 64% |
| 7.00%, interest only | Covenant 1.30x | NOI over facility | Facility over price |

## In this summary

01 **Asset schedule**
All ten assets with area, occupancy, lease expiry, price, NOI and cap rate. Page 2.

02 **Sources, uses and coverage**
How the $16.00M is funded and how far NOI could fall before the covenant. Page 3.

03 **Lease expiry and review**
When income comes up for renewal, and the order to check the pack in. Page 4.

# Asset schedule

Price in USD millions. NOI is annual, in USD thousands, before debt service. Occupancy is by floor area.

| ID | Asset | Area sq ft | Occupied | Lease expiry | Price $m | NOI $k | Cap rate | Share of NOI |
|---|---|---|---|---|---|---|---|---|
| NL-01 | Northgate<br>Light industrial | 18,000 | 95% | 2030 | 1.20 | 86 | 7.17% | 8.2% |
| NL-02 | Riverbend<br>Distribution warehouse | 21,000 | 100% | 2032 | 1.40 | 95 | 6.79% | 9.0% |
| NL-03 | Eastpoint<br>Multi-let industrial | 24,000 | 92% | 2029 | 1.80 | 131 | 7.28% | 12.5% |
| NL-04 | Foundry<br>Light industrial | 17,000 | 100% | 2031 | 1.10 | 74 | 6.73% | 7.0% |
| NL-05 | Lakeside<br>Warehouse | 20,000 | 95% | 2033 | 1.50 | 108 | 7.20% | 10.3% |
| NL-06 | Parkway<br>Multi-let industrial | 26,000 | 90% | 2028 | 2.00 | 146 | 7.30% | 13.9% |
| NL-07 | Westfield<br>Warehouse | 16,000 | 100% | 2032 | 1.00 | 68 | 6.80% | 6.5% |
| NL-08 | Crossroads<br>Distribution warehouse | 23,000 | 94% | 2030 | 1.70 | 117 | 6.88% | 11.1% |
| NL-09 | Highland<br>Light industrial | 19,000 | 100% | 2031 | 1.30 | 88 | 6.77% | 8.4% |
| NL-10 | Southport<br>Multi-let industrial | 22,000 | 93% | 2029 | 2.00 | 137 | 6.85% | 13.0% |
| | **Portfolio** | **206,000** | **95.5%** | | **15.00** | **1,050** | **7.00%** | **100.0%** |

## How the totals are built

Area, price and NOI are simple sums of the ten rows. Occupancy is weighted by floor area, so a vacant unit in a large building counts for more. The portfolio cap rate is total NOI divided by total price, not an average of the ten cap rates.

## What stands out

Cap rates run from 6.7% to 7.3%. The two oldest multi-let buildings, Parkway and Eastpoint, carry the highest cap rates and the earliest lease expiries. Four single-tenant assets are fully let.

# Sources, uses and coverage

| SOURCES | USD M | SHARE |
|---|---|---|
| Senior facility | 9.60 | 60% |
| Sponsor equity | 6.40 | 40% |
| **Total sources** | **16.00** | **100%** |

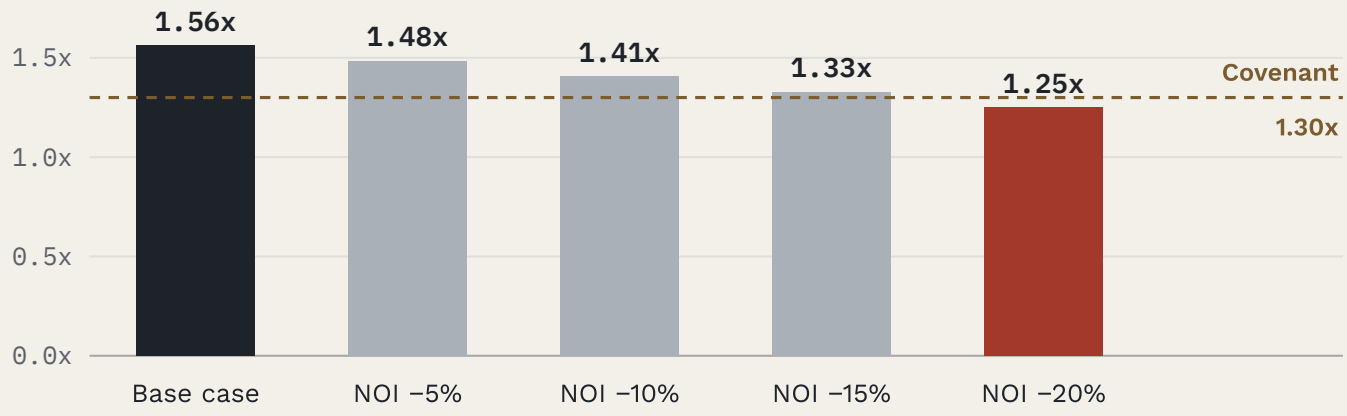
| USES | USD M | SHARE |
|---|---|---|
| Purchase price | 15.00 | 93.8% |
| Transaction costs | 0.50 | 3.1% |
| Initial reserves | 0.50 | 3.1% |
| **Total uses** | **16.00** | **100%** |

## Key ratios

| | | |
|---|---|---|
| **Debt service** | **$672,000** | $9.60M at 7.00%, interest only. |
| **DSCR** | **1.56x** | Annual NOI of $1,050,000 divided by debt service. |
| **Debt yield** | **10.9%** | Annual NOI divided by the facility. |
| **Loan to cost** | **60%** | Facility divided by total project cost of $16.00M. |
| **Loan to value** | **64%** | Facility divided by purchase price of $15.00M. |
| **Cap rate** | **7.00%** | Annual NOI divided by purchase price, before financing. |

## Coverage if income falls

Interest-only DSCR at lower levels of NOI. Debt service stays at $672,000.

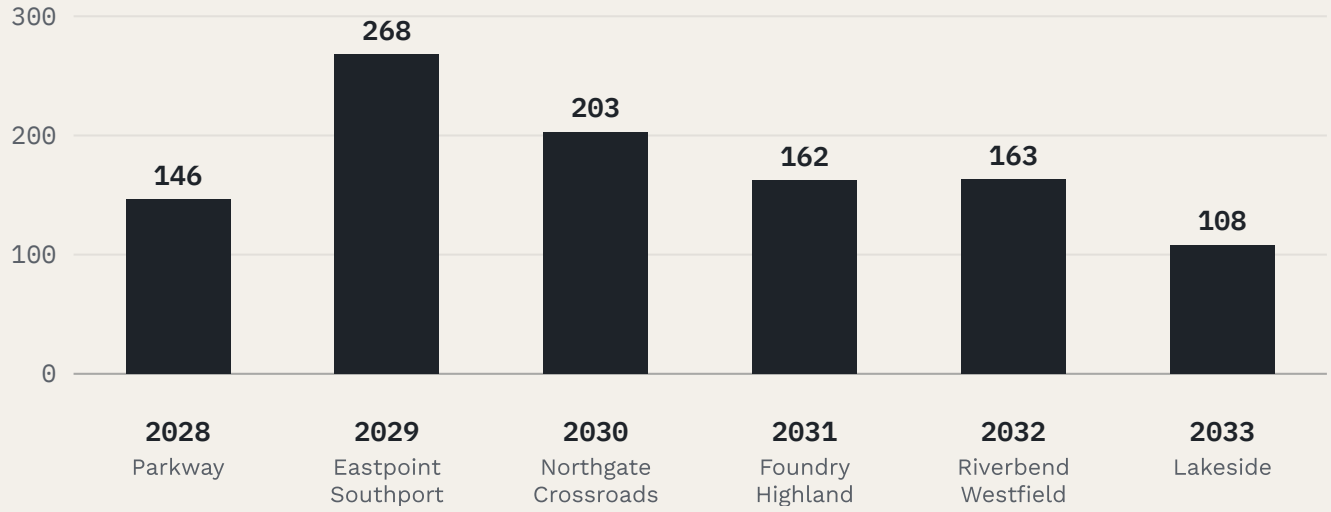



**NOI could fall 16.8%**, to $873,600, before coverage reaches the 1.30x covenant.

# Lease expiry and review

## NOI by lease expiry year

Annual NOI in USD thousands, grouped by the year each asset's main lease ends. Totals 1,050.




The largest single year is 2029, when 26% of NOI comes up for renewal. Nothing expires before 2028.

## How to review this pack

01 **Check the asset IDs**
Every page uses NL-01 to NL-10.

02 **Reconcile the totals**
Schedule sums match pages 1 and 3.

03 **Test the ratios**
Recalculate DSCR, LTC and LTV.

04 **Read the term sheet**
Terms match the figures here.

## The financing pack

| | |
|---|---|
| **Property deck**<br>Portfolio, capital structure and ten asset profiles | 15 slides |
| **Financing summary**<br>This document | 4 pages |
| **Term sheet**<br>Indicative senior facility terms | 1 page |